

bonds that a liquid fund buys are short-maturity bonds, or bonds that will mature within an average of three months.

‘Average maturity’ will be a term you will come across when you go to buy a debt fund. All that it means is that the average holding period of all the bonds is about three months. Some bonds may be maturing tomorrow, some in a week, some in two months and some may mature in four months. The average of all these different maturing dates is three months.

Liquid funds buy short-term bonds. Therefore, the money you have to put in a liquid fund must be money you need in the short term. I keep money in a liquid fund if I know there is an expense coming up in the next three to six months.

SEBI has now allowed funds to allow instant redemption of up to Rs 50,000 a day from liquid funds, or up to 90 per cent of the money in your liquid fund – whichever is lower. If you need the money now, you can go to your fund house website and press sell. The fund will redeem and credit your bank with Rs 50,000 (or less) in no time.

If you have liquid funds with more than one fund house, you can instantly access Rs 50,000 multiplied by the number of liquid funds you hold, no matter whether markets are open or not. Some fund houses have allowed access to liquid funds through a debit card. These are very, very low-risk funds and your capital is quite safe.

A couple of accidents have happened during the 2016 financial crisis, but these are very rare occasions where even banking can freeze. Remember, during demonetization in November 2016, we could not even access our own bank deposits for a long time. Such things happen. Look at liquid funds in the same way. It will take a very unusual event to cause you a loss of your invested amount. But is there a guarantee? No.

Ultra-short-term fund

As the name says, you can invest in these if you need the money anytime in the next nine months to a year. These funds invest in bonds that have an average maturity of about nine months – they buy debt papers that mature in a week to